Syllabus Edition
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Enterprise & Entrepreneurship

Exam code: 0450, 0986 & 0264, 0774

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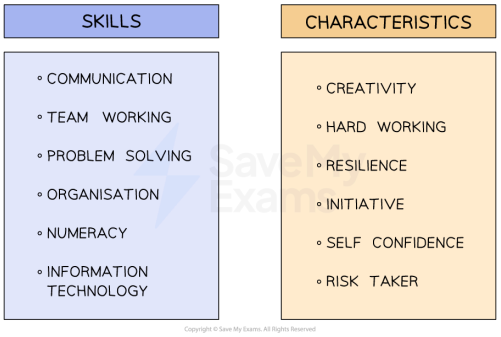
Characteristics of successful entrepreneurs

- An entrepreneur is a person who is **willing and able to create a new business idea** or invention and **takes risks** in pursuing success
  - Successful entrepreneurs can identify and pursue opportunities, **create value for customers** and build thriving businesses
- Entrepreneurs require a **unique set of characteristics and skills**



The skills and characteristics required by entrepreneurs include communication, creativity and resilience

- Successful entrepreneurs tend to be very **persuasive** in their communication and **decisive** in their decision-making

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Characteristics of successful entrepreneurs

Characteristic	Explanation

Hard working	• Starting a business is often the sole responsibility of a single entrepreneur, who will need to be able to solve problems with limited support
Resilience	• Entrepreneurs must keep going, even when things go wrong • Many face setbacks such as financial difficulties, customer complaints, or failed ideas, but they must learn from mistakes and keep trying
Initiative	• Entrepreneurs must be able to make decisions that will determine the success or failure of their business • Entrepreneurs need to be persuasive communicators ○ Persuading lenders, investors and customers to support their business is central to achieving financial success
Self confidence	• Entrepreneurs need to believe in themselves and their business ideas • Confidence helps them overcome obstacles, lead others and take risks even when success is not guaranteed
Risk taker	• Entrepreneurs take financial, personal or professional risks • These risks can pay off with great rewards, but they can also lead to failure and financial loss • An entrepreneur may invest their life savings into a new venture or quit a secure job to start their own business • They may also take risks by introducing new products or entering new markets

Help me understand

Examiner Tips and Tricks

When writing about **entrepreneurs**, don't just list their characteristics – always link these to why they are important for business success, e.g. risk-taking helps in launching new products

a business plan

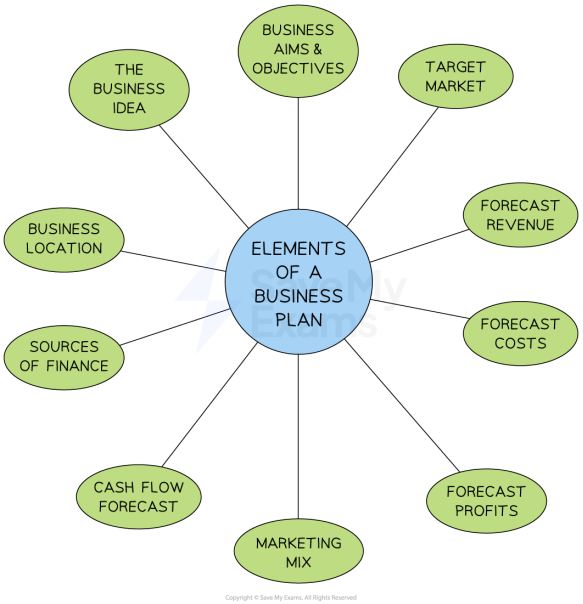
- A **business plan** is a document, produced by the owner of a business, which provides forecasts of sales, costs and cash flow and details key objectives

Why is a business plan important?

- The main aim of producing a business plan is to **reduce the risk** associated with starting a new business and help the owners **raise finance**
- Having carried out research to support the plan, the business will be **well-informed about the potential problems and chance of success**
- A well-written business plan can **help a business obtain finance**
  - Lenders (e.g. banks) and other investors will be able to explore the plan and **make an informed decision** about whether the business is credible and worth the financial risk
  - Investors (e.g. **venture capitalists**) will use the business plan to explore whether there is an opportunity to **increase the value of their investment** and make a worthwhile profit

- A clear action plan **provides direction for the business** and helps lenders and investors have confidence in the future success of the business
- Most high street banks can provide a detailed **template** for business owners to complete when applying for finance

Key elements of a business plan



The main elements included in a business plan, although some differ slightly depending on the nature of the business

    - A clear explanation of the goods or services provided by the business, helping to attract investors
    - May also include the history of the business idea

- **Business aims and objectives**
    - What the business wants to achieve in the medium and long term
    - Aims can be both financial and non-financial depending on the business

- **Target market**
    - Explains who the business aims to serve, including age, gender, and income
    - Forms part of the firm's marketing strategy

- **Forecast revenue**
    - Projects the business's anticipated income from sales
    - Calculated as: **Sales Revenue = Price x Quantity Sold**
    - Helps plan for break-even levels of output

- **Forecast costs**
    - Predicts fixed, variable, and total costs to manage spending effectively
    - New businesses often have high startup costs, such as initial stock

- **Profit forecasts**
    - Investors review profit forecasts to assess the business's ability to repay borrowed funds, such as bank loans

- **Marketing mix**
    - Outlines the marketing strategy for attracting customers
    - Includes Product, Place, Price, and Promotion

- **Cash-flow forecast**
    - Explains management of cash inflows and outflows monthly to prevent liquidity issues

- **Sources of finance**
    - Details funding sources for the new business, such as loans, owner's funds, or venture capital

- **Business location**
    - Describes the proposed business location, including a map and advantages like good transport links or customer proximity

Government support of business start-ups

- Governments often provide support to entrepreneurs
    - This encourages them to set up new businesses or take steps to grow their business

- Reasons for providing **government support** include:

businesses create jobs
    - Improve **choice for consumers** by providing **competition** for existing businesses
    - Encourage entrepreneurs to set up **social enterprises** which may support disadvantaged groups or improve communities

How do governments support business start-ups?

1. **Training and support sessions**
    - **Advice regarding finance, operations and marketing** can often be accessed through local authorities
    - **Support sessions** offered by business mentors allow entrepreneurs to ask specific questions related to their business

2. **Enterprise zones**
    - Enterprise zones are geographic areas which provide tax breaks and Government support to help businesses grow
        - Enterprise Zones can provide access to **low-cost premises** and incentives such as reduced **business rates**
        - They are often linked with **universities** that share expertise and facilities, especially in less economically-developed regions

3. **Finance**
    - Some governments provide low-**interest start-up loans** and **grants** for new or growing businesses that create jobs or invest in training workers

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